

Brookfield Asset Management **BAM**

October 08, 2019 - 5:39pm EST

by

Enright

2019 2020

Price:	51.04	EPS	0	0
Shares Out. (in M):	1,031	P/E	0	0
Market Cap (in \$M):	53,000	P/FCF	0	0
Net Debt (in \$M):	28,000	EBIT	0	0
TEV (in \$M):	25,000	TEV/EBIT	0	0

Description

Business overview

Brookfield Asset Management is an owner & asset manager with \$509 bn in assets under management, of which \$227 bn is fee-bearing capital (pro forma for the Oaktree acquisition). Of the \$227 bn of fee bearing capital, \$65 bn is in listed partnerships (BPY/BEP/BIP/BBU, of which it owns 51%/61%/30%/63% respectively), \$53 bn is in flagship private equity funds, \$26 bn is in core and other funds, and \$83 bn is in Credit & public securities. Brookfield currently has \$50 bn in liquidity to deploy into potential opportunities. Brookfield primarily focuses on industries with hard assets, specifically real estate, infrastructure, and renewables.

Thesis

You can buy BAM and hedge out its public holdings to create the Brookfield asset management stub. I think the stub has 30% upside to conservative fair value based on LTM earnings (20x FRE + 8x incentive); framed another way, my one-year price target on the stub is ~53% higher than where it currently trades.

BAM currently has a \$53 bn market cap, of which \$28 bn is invested capital, resulting in a stub value of \$25 bn. I think the stub will be worth \$38 bn in one year.

BAM's current fee-related earnings (FRE) are \$1.2 bn. Assuming FRE compounds at 8% for 2 years (BAM is guiding to 16% per year), 2021 FRE will be \$1.4 billion. I think this deserves a 20x multiple and should be valued at \$25.0 bn (net of a 10% tax rate). My choice of 20x multiple is driven by both the stickiness of private assets as well as BAM's future growth.

- a. BAM currently plans to increase its fee-bearing capital from \$227 bn currently to \$396 bn in 5 years or a 12% CAGR. It's important to note that the 20x multiple I use only requires BAM's asset growth to come in at a fraction of this rate.
 - i. This forecast assumes:
 1. Listed partnership AUM to increase from \$65 bn to \$103 bn over 5 years. This comes from:
 - a. \$17 bn of value creation from distribution growth (inflation + capital retention)
 - b. \$13 bn of market value growth (a somewhat aggressive assumption)
 - c. And \$8 bn of issuances.
 2. Private Funds and Public Securities AUM to increase from \$162 bn to \$293 bn over 5 years. This is driven by
 - a. Raising an additional \$53 bn for Brookfield's flagship funds in 2021-2023,
 - b. \$17 bn for the subsequent round of flagship fundraising,
 - c. \$27 bn growth in Core & Other,
 - d. \$56 bn in Credit & Public Securities,
 - e. The above are offset by \$22 bn in realizations.
 - f. I don't think these fundraisings are controversial because competitors have gone through significant fundraisings recently - CG just recently eclipsed its \$100 bn 3.5 year fundraising goal, while BX raised \$100+ bn in 2017/2018 and most likely will exceed that in 2019.
 - b. It's helpful to note that BAM is currently outperforming its 2018 investor day FRE projection by about 5%.
- b. The incentive run-rate is ~\$1.2 bn and deserves an 8x multiple, which gives it a value of \$8.4 bn.
 - a. The incentive earnings of a long-only, diversified asset manager with very sticky capital is a valuable asset, because over time, the assets both grow in value and produce cash.
 - b. The value of this income stream also benefits from BAM's future growth as discussed in the above FRE section.
 - c. I realize that incentive earnings are risky and cyclical, but I think the relatively low multiple for the incentive adjusts for this factor.
- b. There is an additional \$1.8 bn of net accrued incentive at BAM and \$380 million at Oaktree.

- a. The combined valuation of these assets is \$32 bn, or a forward value of \$34 bn including 1 year of FRE and Incentive generation taxed at 10%.

.. Additional Points:

- a. The invested capital is reasonably hedge-able: it comprises \$41 bn of assets, less \$11 bn of liabilities with some minor pro-forma adjustments for the Oaktree acquisition. Of the \$41 bn in invested capital assets, \$29 bn is listed and hedge-able, and another \$4 bn is cash/financial assets. This means that most of BAM's underlying holdings can be hedged and have little volatility.
- b. I assume a 10% tax rate for conservatism even though BAM currently is guiding to a 3-4% tax rate on FRE. This is driven by BAM's significant NOLs, continual acquisition of businesses with NOLs, and other favorable tax attributes in its business.
- c. The combined company shouldn't have a discount to fair value because the parent company does not improperly enrich management and it has demonstrated that it can compound capital well.

Managing private market assets is an attractive business

- .. The size of the business benefits from capital markets' secular growth over time.
- .. Unlike other balance sheet-heavy financials, asset management is very capital light and requires little incremental capital to grow.
- .. Pricing is reasonably stable:
 - a. While LPs like lower fees, having low fees alone doesn't allow a firm to raise assets and alternative asset managers don't try to gather assets on the basis of low fees. Brookfield's base management fee rate has remained almost entirely flat since 2013 (92 bps LTM vs. 93 bps in 2013)
- .. Margins are high:
 - a. The large sums of money involved mean firms can pay employees well while retaining a large percentage of the revenues.
 - b. Employees have somewhat limited bargaining power because at any one time there are few senior open seats available that would pay reasonably better than a senior position at a large asset manager.
- .. Investors are allocating more to private assets because of their perception of higher returns.
 - a. Pension funds are underfunded. The easiest way to try to solve the problem is by allocating to a higher targeted return asset class (even if its leverage is higher).
 - b. According to consultants, private equity has beaten public-market-equivalent returns.
 - c. Some LPs like the perception of less risk driven by both private marks and the GP's control over the investment.
 - d. Even if forward returns on private markets are unattractive on a risk-adjusted basis, it will take a long time for investors to realize this, and an even longer time for them to act on it.

Brookfield vs. other private asset managers

Brookfield's asset management business is better in many key aspects than competitors':

- .. A high percentage of well-structured permanent capital AUM.
 - a. \$65 bn of the \$227 bn of the fee-bearing capital is in listed partnerships or effectively true permanent capital. The earnings from this asset stream should deserve a high multiple because they are perpetual and invested in high-yielding assets (real estate, infrastructure, etc.) that can afford to pay high fees. This is different than what other asset managers call permanent capital.
 - i. For example, APO refers to the assets it manages for Athene as "permanent capital" but annuities eventually expire. Also, managing insurance money in a high-risk way is a regulatory tricky proposition.
 - ii. Other asset managers refer to their BDCs as permanent capital, but frequently onerous BDC fees prevent BDCs from raising additional capital and the underlying assets are reasonably risky (debt in levered LBOs that is levered at the BDC level).
- .. Brookfield benefits from its significant scale in its funds. While scale is often the enemy of returns in public markets, in private markets reasonable scale (less than what Berkshire has but more than a low-billion dollar PE fund may have) has several advantages:
 - a. Ability to operate a multi-strategy multi-country investment platform that allows for capital allocation to the most attractive investment area at any given time
 - b. The ability to look at large transactions with limited competition, as well as to not need co-investors or require fewer of them:
 - c. Funding to incubate new strategies in attractive areas

- i. Given its background in real estate and infrastructure asset ownership, BAM has unique capability in developing assets. For example, its listed BPY partnership has a \$5.1 bn development pipeline. I view this as an attractive way to deploy capital in a high valuation environment.

Management

- .. Management has been working together for a long time:
 - a. Bruce Flatt joined Brookfield in 1990 and became CEO in 2002.
 - b. Brian Lawson joined Brookfield in 1988 and held a number of senior management positions in Brookfield's investment and finance operations before becoming CFO in 2002.
 - c. Brian Kingston is the CEO of Brookfield Property Group and Brookfield Property Partners. He joined Brookfield in 2001 and was named CEO of Brookfield Property Partners in 2015.
- .. I think the compensation levels for top management (mid-single digit millions per year, per the proxy) are very reasonable for a giant asset manager. I also like the long-term share ownership orientation of the compensation plans, the fact that escrowed shares generally must be held until the fifth anniversary of the award date, and that deferred share units can only be redeemed for cash upon cessation of employment through retirement, resignation, termination or death.

Risks

- .. A prolonged market downturn results in no incentive earned.
 - a. Mitigant: The stub currently values the incentive at only \$1 bn so there shouldn't be significant value impairment if this scenario occurred.
- .. Poor underlying fund performance vs. competitors.
 - a. Mitigant: Given how slowly institutional investors re-assess managers and BAM's operational ability to try and improve the performance of its assets, I think it'd take a very long time for investors to become dissatisfied with BAM.
- .. Higher interest rates that depress long-duration asset values
 - a. Mitigant: Higher interest rates are likely to come with higher economic growth which is usually a tailwind to fundamental performance and valuations.

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Catalyst

Waiting for Brookfield stub to reach fair value as investors appreciate the stability of FRE and see incentive continue to accrue through-cycle.

Messages

Subject Double Counting
Entry 10/08/2019 08:29 PM
Member nola18
 Enright,

Thanks for the write up. It looks to me like you are double counting the fees brookfield charges itself on it's own balance sheet assets. As you likely are aware, Brookfield counts ~\$30B in listed partnership assets as owned balance sheet assets, charges themselves fees on those assets, and then turns around and counts that as revenue. To me, that's double counting. In fiscal year 2018, these double counted fees were approximately \$434m, a substantial portion of fee related revenue. Adjusting for this, I think BAM is a bit less attractive that your write up suggests, and significantly less mispriced that some peers. If all goes according to the five year plan, this will of course still be a homerun. But it will also be for every other listed alternative. I have hard time understanding why you would want to own Brookfield over KKR. To simplify the comparison, adjusting for double counted assets BAM has ~140B in fee bearing capital compared to an equity stub value of \$25B. KKR has \$152B in fee bearing capital compared to an equity stub value of \$6.8B.

Best,
 Nola

	FY2018				
	Mgmt Fees	IDRs	Total	BAM %	BAM Double Counted Fees
BIP	214	136	350	30%	105
BPY	83	0	83	51%	42
BEP	80	45	125	61%	76
BBU	56	278	334	63%	210
					434

Subject re: Double Counting
Entry 10/09/2019 10:52 AM
Member Enright

Hi Nola18, thank you for your question. I agree with you that KKR's "stub" (market value less book value) value is very cheap but because it's not hedgeable (as it is invested in many private companies), I don't think you can buy just the KKR "stub" like you can with BAM. KKR forces you to also invest in its balance sheet which forces one to take a reasonable amount of additional risk since those investments are invested in LBOs. Additionally, because a SOTP analysis values balance sheet around 1x (very roughly), the balance sheet valuation doesn't have much upside to a current fair value.

I don't think I am double counting assets. If Brookfield were to buy an asset for \$100 million and then BAM started paying itself fees on the asset – then I'd agree that you can't value the combined company at \$100 million + fees. As it is, I use publicly traded share prices to value the equity stakes which have valuations that already are net of the fees (because public market investors have to pay fees), and are valued on post-fee earnings. Put another way, if I didn't add BAM's fees on the stock it owns, that wouldn't make sense because the underlying company has to pay those fees (and the share price already incorporates that) but BAM wouldn't get any value ascribed to them. I think that implies that I am not double counting assets. Let me know if you disagree with this.

Also to clarify the write-up - this sentence "The combined valuation of these assets is \$32 bn, or a forward value of \$34 bn including 1 year of FRE and Incentive generation taxed at 10%." should be "The combined valuation of these assets is \$32 bn based on current earnings, a forward value of \$34 bn including 1 year of FRE and Incentive generation taxed at 10%, and \$38 bn including the benefit of forward FRE growth"

Subject Re: re: Double Counting
Entry 10/09/2019 11:54 AM
Member nola18
 Enright,

Thanks for the reply. Interesting thought on why KKR trades cheaper. I've never really thought about people wanting to hedge out the balance sheet. I have little interest in doing so because I think KKR will beat ACWI/S&P on a gross basis over the long term. I tend to think about BAM double counting based on the IFRS valuations of each listed partnership, not the publicly quoted prices. IMO this is reasonable given that BAM does not intend to sell their ownership in these listed partnerships in the public market. Using the IFRS valuations you get a net balance sheet value that is within ~5B of using the publicly quote prices. For some reason BAM thinks its fair to take the higher of each value for every asset and call that net asset value.

All of that aside, I still agree that you could do very well over the next 5-10 years as a BAM shareholder.

Subject Re: Re: re: Double Counting
Entry 11/26/2019 09:44 AM

Member

punchcardtrader

Resting my personal case with double counting:

Note 1 on page 21 of the quarterly "supplemental information" discloses the exact number of management fees charged on own capital (but not performance fees!). Unlike trailing numbers, this is more useful & like-for-like with Brookfield's "annualized fee related earnings" on page 5 (BAM plan value per share calculation) in the same doc, because "annualized" for BAM actually means "run-rate".

If you only deduct unlisted & BPY fees on own capital (= only listed partnership accounted for at IFRS value and the other listed partnerships' market prices should theoretically already discount fees), this should get you to 45MUSD p.a. at this moment. I then deduct this number from both fee revenue and fee net earnings to get to a comparable fee related earnings number with comps.

I am not discussing carried interest. If we were to take BAM's definition of "target carry" at face value, intrinsic value skyrockets at each fundraise or e.g. buying OAK. To be fair, I understand the rationale of disclosing this number and would like it if every player did. I just don't find it conservative to then capitalize this number at 10X in the plan value calculation.

So yeah, I agree with nola there's many small aggressive assumptions in BAM's plan value calculation (cherry picked IFRS/market value, double counting, "annualized" means run-rate if you check the definition, and high multiples). Not a comment on an otherwise nice franchise.

Subject	Re: Re: Re: re: Double Counting
Entry	05/19/2020 04:42 PM
Member	xds68

Any updated thoughts on BAM? It looks like its on the bottom tier of asset mgt performer during this crisis, which I assume reflects BPY - but at these prices are you actually paying much for the balance sheet investments? How much risk is there to the fee income?

Subject	Asset Manager Spin Off
Entry	05/18/2022 03:39 PM
Member	nola18

Am I reading this correctly... BAM expects their asset manager spinoff to trade at a ~\$80bn valuation?? Or more than the market cap of the combined company with balance sheet assets today? These guys are delusional

As a first step, the Corporation will publicly distribute a 25% interest in the Manager to our shareholders. This will make the Manager a pure play in money management and one of the clear leaders in alternatives. The Manager's balance sheet will be free of the substantial proprietary investments the Corporation makes for its own account, facilitating comparison of its financial statements with those of other asset managers, and its performance as a pure money manager will be clear. Since asset managers don't need much in the way of facilities, equipment or working capital to do business, we plan for the Manager to pay out approximately 90% of its annual earnings in dividends. At our midpoint of valuation estimates, the Manager will in our view have a Value of ±\$80 billion ("trading price" may be more or less) and based on that will have a free float of ±\$20 billion.

The Corporation will initially hold a 75% ownership of the Manager. In addition to the shares of the Manager and our other proprietary investments, the Corporation will own its existing interest in Brookfield Reinsurance, the most recent example of a company we have built by investing our own funds. In essence, following the transaction, the Corporation (at our midpoint valuation estimates) will hold ±\$135 billion of investments: the ±\$75 billion of investments it currently owns plus ±\$60 billion of Manager shares—its 75% ownership in the Manager. Shareholders will directly own the other 25% of the Manager.

The Corporation is also the entity that will continue to make early investment commitments to funds managed by the Manager, make direct investments in new and existing businesses, or repurchase shares when they represent the best potential use of funds. The Corporation's objective will be to continue investing and compounding capital over the long term at an annualized rate in excess of 15%, consistent with our historical returns. The Corporation's appetite for investment capital means, however, that its annual dividend will initially be set at a lower level (which, when combined with the dividends shareholders will receive from the high payout of the Manager, will be around the same as they receive today).

The result of this transaction will be two companies: a leading alternative asset management firm and a capital investor focused on compounding its capital over time, each of which has its own financial dynamics and each of which will be easier to analyze when viewed from the outside. However, through their common ownership and the fact that the Manager will manage many of the Corporation's investments, we will preserve the extensive synergies that historically have existed between our asset management and proprietary capital investing functions. These include the sharing of industry expertise; accessing the operating expertise across our platforms; joint sourcing of deals; and the capital investor's use of its strong balance sheet